JAIIB – IE & IFS Practice Set 2

400 questions with answers

Module A – Indian Economic Architecture

Q1. The first Chairman of the Planning Commission was:

A) Gulzarilal Nanda
B) Jawaharlal Nehru ✓
C) Sardar Patel
D) Rajendra Prasad

Prime Minister Nehru chaired it; Nanda was the first Deputy Chairman.

Q2. The National Development Council (NDC) was set up in:

A) 1947
B) 1952 ✓
C) 1975
D) 1960

NDC was formed in August 1952 to secure cooperation of states in planning.

Q3. The Third Five-Year Plan (1961–66) is generally described as having been disrupted by:

A) Demonetisation
B) Wars with China (1962) and Pakistan (1965) and drought ✓
C) Global financial crisis
D) Oil shock of 1973

External conflicts and bad monsoons hurt the Third Plan.

Q4. The 'Garibi Hatao' slogan is associated with which Five-Year Plan?

A) Tenth
B) Second
C) Fifth ✓
D) Eighth

Fifth Plan (1974–79) under Indira Gandhi.

Q5. Which Plan emphasised 'growth with social justice and equity'?

A) Ninth ✓
B) Sixth
C) Eleventh
D) Seventh

Ninth Plan (1997–2002).

Q6. The Eleventh Plan's theme was:

A) Garibi Hatao
B) Growth with stability
C) Rapid industrialisation
D) Faster and more inclusive growth ✓

11th Plan: 2007–12.

Q7. The Twelfth Plan's theme was:

A) Faster, more inclusive and sustainable growth ✓
B) Self-reliance
C) Growth with equity
D) Food, work and productivity

12th Plan: 2012–17.

Q8. Which Plan was preceded by three annual plans (1966–69)?

A) Fourth ✓

B) Sixth

C) Ninth

D) Second

The 'Plan Holiday' came before the Fourth Plan.

Q9. Between 1990 and 1992, India followed:

A) Rolling Plans

B) Ten-year plans

C) Annual Plans ✓

D) No planning

The Eighth Plan began in 1992 after two annual plans.

Q10. The last Deputy Chairman of the Planning Commission was:

A) K.C. Pant

B) Montek Singh Ahluwalia ✓

C) Arvind Panagariya

D) Manmohan Singh

He served 2004–2014.

Q11. Which of the following is a function of NITI Aayog?

A) Regulating insurance

B) Policy think-tank and cooperative federalism ✓

C) Fixing repo rate

D) Printing currency

NITI Aayog is advisory; it does not allocate funds.

Q12. Rabi crops are sown mainly in:

A) August only

B) June–July

C) October–November ✓

D) March–April

Harvested in March–April; examples: wheat, barley, mustard.

Q13. Which of the following is a Kharif crop?

A) Mustard

B) Rice ✓

C) Wheat

D) Gram

Kharif: sown with monsoon, harvested Oct; rice, maize, cotton, bajra.

Q14. Zaid crops are grown in:

A) Monsoon only

B) Winter

C) Summer between Rabi and Kharif ✓

D) Round the year

E.g. watermelon, cucumber.

Q15. The Pradhan Mantri Fasal Bima Yojana (PMFBY) was launched in:

A) 2010

B) 2016 ✓

C) 2013

D) 2019

Crop insurance scheme with low farmer premium (2% Kharif, 1.5% Rabi).

Q16. e-NAM is:

A) A pension scheme
B) A tax
C) An online national agriculture market platform ✓
D) A bank

National Agriculture Market, launched in April 2016.

Q17. The Soil Health Card scheme was launched in:

A) 2010
B) 2005
C) 2020
D) 2015 ✓

Gives crop-wise nutrient recommendations.

Q18. Bhoodan Movement was started by:

A) Mahatma Gandhi
B) J.P. Narayan
C) Vinoba Bhave ✓
D) Dr. Ambedkar

Started in 1951 in Pochampally.

Q19. Which is NOT a component of land reforms in India?

A) Abolition of intermediaries
B) Land ceiling
C) Tenancy reform
D) Nationalisation of all land ✓

Land is a state subject; no nationalisation took place.

Q20. The Food Corporation of India was set up in:

A) 1965 ✓
B) 1975
C) 1947
D) 1991

FCI handles procurement, storage and distribution of foodgrains.

Q21. The National Food Security Act was enacted in:

A) 2013 ✓
B) 2005
C) 2009
D) 2017

It covers up to 75% rural and 50% urban population.

Q22. PDS in India is jointly run by:

A) RBI and SEBI
B) NABARD and SIDBI
C) Only the Centre
D) Centre and States ✓

Centre procures; States distribute.

Q23. The Industrial Policy Resolution of 1956 divided industries into:

A) Three schedules (A, B, C) ✓
B) Two sectors only
C) Two lists
D) Five schedules

Schedule A: state monopoly; B: progressively state-owned; C: private.

Q24. MRTP Act 1969 was replaced by:

A) Companies Act 1956
B) FEMA 1999
C) SEBI Act
D) Competition Act, 2002 ✓

CCI regulates competition; started functioning in 2009.

Q25. The Industries (Development and Regulation) Act was passed in:

A) 1969
B) 1951 ✓
C) 2002
D) 1991

It created the licensing regime.

Q26. Under the New Industrial Policy of 1991, industrial licensing was abolished except for:

A) All industries
B) Only banking
C) A few specified industries ✓
D) Only agriculture

Security, strategic and environmentally sensitive sectors stayed licensed.

Q27. Which of the following is a feature of the 1991 reforms?

A) Reduction of import tariffs ✓
B) Increase in licensing
C) Fixed exchange rate
D) More public monopoly

Tariffs were reduced sharply.

Q28. In July 1991, the rupee was devalued by about:

A) 50%
B) 18–19% (in two steps) ✓
C) 1%
D) 5%

Done in two steps on 1 and 3 July 1991.

Q29. During the 1991 crisis, India's forex reserves covered about:

A) Five years
B) Six months of imports
C) Two weeks of imports ✓
D) One year of imports

Led to gold being pledged abroad.

Q30. LERMS (1992) was:

A) An insurance law
B) A dual exchange rate system ✓
C) A banking licence
D) A tax system

Replaced by unified rate in 1993.

Q31. Navratna status is given to:

A) Private firms
B) Selected profitable PSUs ✓
C) Foreign banks
D) State governments

Maharatna, Navratna, Miniratna are categories of CPSEs.

Q32. Disinvestment of public sector enterprises is handled by:

A) NABARD

B) DIPAM ✓

C) RBI

D) SEBI

Department of Investment and Public Asset Management.

Q33. PLFS (Periodic Labour Force Survey) is conducted by:

A) NSO ✓

B) SEBI

C) RBI

D) NITI Aayog

It measures employment and unemployment.

Q34. Disguised unemployment is commonly found in:

A) IT services

B) Agriculture ✓

C) Banking

D) Mining

More people than needed work on the land.

Q35. Cyclical unemployment is caused by:

A) Technology

B) Seasonal factors

C) Business cycle downturn ✓

D) Skill mismatch

Falls during recessions.

Q36. The poverty line in India is generally based on:

A) Education

B) Bank deposits

C) Land ownership

D) Consumption expenditure and calorie norms ✓

Estimated by expert committees such as Tendulkar and Rangarajan.

Q37. Which committee estimated poverty using Mixed Reference Period in 2009?

A) Chelliah

B) Lakdawala

C) Tendulkar Committee ✓

D) Alagh

Tendulkar committee, 2009.

Q38. Electricity Act, which restructured the power sector, was passed in:

A) 2003 ✓

B) 2010

C) 1998

D) 1991

Unbundled SEBs.

Q39. NHAI was constituted in:

A) 2005

B) 1999

C) 1988 ✓

D) 1947

National Highways Authority of India (operational from 1995).

Q40. The Golden Quadrilateral connects:

A) Delhi, Jaipur, Agra, Lucknow

B) Delhi, Mumbai, Chennai, Kolkata ✓

C) Delhi, Chandigarh, Amritsar, Shimla

D) Mumbai, Pune, Goa, Surat

Part of NHDP.

Q41. Smart Cities Mission was launched in:

A) 2010

B) 2015 ✓

C) 2018

D) 2020

Along with AMRUT.

Q42. PM Awas Yojana (Urban/Gramin) aims at:

A) Crop insurance

B) Housing for all ✓

C) Education loans

D) Pensions

Launched in 2015.

Q43. Swachh Bharat Mission was launched in:

A) 2008

B) 2020

C) 2014 ✓

D) 2018

On 2 October 2014.

Q44. BharatNet is meant to provide:

A) Water

B) Housing

C) Power

D) Broadband to villages ✓

Optical fibre network to gram panchayats.

Q45. Which of these is NOT a mode of PPP in infrastructure?

A) BOT

B) Hybrid Annuity Model

C) Buy-Sell-Repay ✓

D) BOOT

BOT/BOOT/HAM/ EPC variants are used.

Q46. Infrastructure sector 'harmonised master list' is maintained by:

A) IRDAI

B) Government of India (Finance Ministry) ✓

C) MCA

D) SEBI

It decides which sub-sectors are infrastructure for lending.

Q47. Which of these is a trade-related WTO agreement?

A) SARFAESI

B) MCLR

C) TRIPS ✓

D) BASEL III

Trade-Related Aspects of Intellectual Property Rights.

Q48. GATS in the WTO deals with:

A) Trade in services ✓

B) Trade in goods

C) Textiles

D) Agriculture

General Agreement on Trade in Services.

Q49. GATT was signed in:

A) 1971

B) 1995

C) 1947 ✓

D) 2001

GATT replaced by WTO in 1995.

Q50. The Special Drawing Right (SDR) basket does NOT include:

A) Indian Rupee ✓

B) Chinese Yuan

C) US Dollar

D) Euro

Basket: USD, EUR, CNY, JPY, GBP.

Q51. IMF 'quota' of a member determines its:

A) Subscription, voting power and borrowing access ✓

B) Tax rate

C) Population

D) Exchange rate

Quotas are reviewed periodically.

Q52. The IMF's annual consultation with a member country is known as:

A) Article IV consultation ✓

B) Article VIII review

C) Basel review

D) FSAP only

Surveillance of economic policies.

Q53. G20 was formed in:

A) 1975

B) 2008

C) 1945

D) 1999 ✓

India's G20 Presidency was in 2023 (New Delhi Summit); AU became a member.

Q54. SAARC was founded in 1985 at:

A) Colombo

B) Dhaka ✓

C) Kathmandu

D) New Delhi

First summit was in Dhaka.

Q55. India stayed out of RCEP in:

A) 2012

B) 2015

C) 2019 ✓

D) 2022

India opted out at Bangkok in 2019.

Q56. The UNFCCC's Kyoto Protocol was adopted in:

A) 1987
B) 2009
C) 1997 ✓
D) 2015

Montreal Protocol (1987) is for the ozone layer.

Q57. India's updated NDC (2022) aims to reduce emissions intensity of GDP by ___ by 2030 from 2005 levels:

A) 45% ✓
B) 80%
C) 60%
D) 20%

Also 50% cumulative non-fossil installed capacity by 2030.

Q58. Mission LiFE (Lifestyle for Environment) promotes:

A) Banking reforms
B) Foreign trade
C) Sustainable lifestyle ✓
D) Pension

Launched in 2022.

Q59. National Action Plan on Climate Change (NAPCC) was launched in:

A) 2008 ✓
B) 2020
C) 1999
D) 2015

Eight national missions.

Q60. Carbon credit trading in India is governed by the:

A) SEBI Act
B) FEMA
C) IRDA Act
D) Energy Conservation (Amendment) Act, 2022 ✓

Carbon Credit Trading Scheme.

Q61. EU CBAM is a tax on:

A) Interest
B) Remittances
C) Carbon-intensive imports ✓
D) Exports

Carbon Border Adjustment Mechanism.

Q62. The informal sector in India accounts for roughly ___ of employment:

A) 90% or more ✓
B) 30%
C) 10%
D) 50%

Most workers are informal.

Q63. 'Demographic dividend' means:

A) Economic benefit from large working-age population ✓
B) Population fall
C) Aged population
D) Birth control

Rise in workforce share.

Q64. Which is a key difference between 'growth' and 'development'?

A) They are identical
B) Growth includes health
C) Development excludes income
D) Development includes quality of life, not only income ✓

Growth is quantitative; development is qualitative.

Q65. The Economic Survey is presented by the:

A) President
B) RBI Governor
C) Finance Minister in Parliament ✓
D) Prime Minister

Prepared by the Chief Economic Adviser.

Q66. India's GDP is measured in the national accounts by:

A) RBI
B) NITI
C) MoSPI ✓
D) SEBI

Ministry of Statistics and Programme Implementation.

Q67. PM Gati Shakti National Master Plan uses:

A) Crypto
B) GIS-based digital platform ✓
C) Paper maps
D) Barter

For multimodal connectivity planning.

Q68. National Monetisation Pipeline (NMP) involves:

A) Leasing public assets to private players ✓
B) Selling gold
C) Raising taxes
D) Printing money

Asset monetisation of brownfield assets.

Q69. An 'invisible' item in India's current account with large positive balance is:

A) Software services exports and remittances ✓
B) Gold imports
C) Crude imports
D) Machinery imports

India typically has trade deficit but net invisibles surplus.

Q70. A large current account deficit tends to:

A) Strengthen the rupee
B) Raise reserves
C) Put pressure on the rupee ✓
D) Reduce imports

Needs financing by capital inflows.

Q71. Which is part of the capital account?

A) Merchandise exports
B) Interest payments
C) FDI inflows ✓
D) Remittances

Capital account: FDI, FPI, loans, banking capital.

Q72. Dumping means selling goods abroad at:

A) Higher price
B) Tax-free price
C) Price below cost/home price ✓
D) Fixed price

Anti-dumping duty is the countermeasure.

Q73. FDI in which of the following is NOT permitted?

A) Telecom
B) Retail e-commerce marketplace
C) Insurance
D) Lottery business ✓

Lottery, gambling, chit funds, nidhi companies are prohibited.

Q74. FIPB (Foreign Investment Promotion Board) was abolished in:

A) 2020
B) 2017 ✓
C) 1991
D) 2005

Approvals moved to administrative ministries.

Q75. The World Bank's President is traditionally from the:

A) United States ✓
B) UK
C) India
D) China

IMF MD is traditionally European.

Q76. Which of the following ranks countries on HDI?

A) UNDP ✓
B) IMF
C) WTO
D) BIS

Health, education and income indices.

Q77. Multidimensional Poverty Index uses indicators of:

A) Only land
B) Health, education and standard of living ✓
C) Only income
D) Only caste

Global MPI by UNDP/OPHI; national MPI by NITI Aayog.

Q78. Which sector has been the main driver of India's export of services?

A) IT and IT-enabled services ✓
B) Textiles
C) Jewellery
D) Mining

Software exports and GCCs.

Q79. India's 'Twin Deficit' problem refers to:

A) Trade and services
B) Primary and revenue
C) Fiscal deficit and current account deficit ✓
D) Revenue and capital deficit

Both deficits widening together.

Q80. The 'Emergency liquidity' for countries in crisis is provided by:

A) BRICS
B) WTO
C) ADB
D) IMF ✓

Stand-By Arrangements and Extended Fund Facility.

Q81. Which of the following is a 'public good'?

A) Mobile phone
B) Branded shirt
C) Private car
D) National defence ✓

Non-rival and non-excludable.

Q82. Subsidies in the budget are mainly on:

A) Airlines
B) Food, fertiliser and fuel ✓
C) Luxury goods
D) Gold

Major subsidies include food, fertiliser, petroleum.

Q83. Which year did India adopt GST rate slabs 5%, 12%, 18%, 28% (before later simplification)?

A) 2020
B) 2017 ✓
C) 2010
D) 2005

GST launched on 1 July 2017.

Q84. Which of the following taxes was subsumed in GST?

A) Income tax
B) Corporate tax
C) Service tax and VAT ✓
D) Customs duty

Also excise (except few), CST, entry tax.

Module B – Economic Concepts Related to Banking

Q1. If price falls by 10% and quantity demanded rises by 20%, the price elasticity of demand is:

A) 2 ✓

B) 0.5

C) 1

D) 10

20% / 10% = 2 (elastic).

Q2. Price rises 10% and quantity demanded falls 10%. Elasticity is:

A) 0.1

B) 1 (unitary) ✓

C) 0

D) 2

Total revenue stays unchanged.

Q3. Price rises by 5% and quantity demanded falls by 2%. Demand is:

A) Unitary

B) Elastic

C) Inelastic ✓

D) Perfectly elastic

Elasticity 0.4.

Q4. If demand is elastic and price falls, total revenue:

A) Falls

B) Becomes zero

C) Stays same

D) Rises ✓

Elastic demand: revenue moves opposite to price.

Q5. If demand is inelastic and price rises, total revenue:

A) Falls

B) Becomes zero

C) Stays same

D) Rises ✓

Inelastic: revenue moves with price.

Q6. Marginal propensity to consume is 0.8. The investment multiplier is:

A) 1.25

B) 5 ✓

C) 8

D) 0.2

Multiplier = 1/(1–MPC) = 5.

Q7. If MPC = 0.75, the multiplier is:

A) 3

B) 1.33

C) 0.25

D) 4 ✓

1/(1–0.75) = 4.

Q8. If MPS (marginal propensity to save) is 0.2, the multiplier is:

A) 5 ✓

B) 2

C) 20

D) 0.2

Multiplier = 1/MPS.

Q9. With a simple reserve ratio of 10%, the money multiplier is:

A) 0.1

B) 10 ✓

C) 100

D) 1

1/0.10.

Q10. With CRR of 4% (ignoring leakages), the deposit multiplier is:

A) 25 ✓

B) 4

C) 2.5

D) 0.04

1/0.04 = 25.

Q11. Nominal interest 9%, expected inflation 6%. Real interest rate is approximately:

A) 15%

B) 54%

C) 6%

D) 3% ✓

Fisher: real = nominal – inflation.

Q12. A deposit earns 7% and inflation is 8%. The real return is:

A) 1%

B) 15%

C) –1% ✓

D) 0%

Negative real interest rate.

Q13. Nominal GDP is ₹600 crore and real GDP ₹500 crore. GDP deflator is:

A) 100

B) 120 ✓

C) 110

D) 83.3

(600/500) × 100.

Q14. Price index rose from 120 to 126. Inflation rate is:

A) 6%

B) 0.5%

C) 5% ✓

D) 4.8%

(126–120)/120 = 5%.

Q15. GDP is ₹100 and net factor income from abroad is –₹5. GNP is:

A) ₹105

B) ₹100

C) ₹95 ✓

D) ₹5

GNP = GDP + NFIA.

Q16. GNP = 500, depreciation = 50. NNP at market price equals:

A) 500

B) 450 ✓

C) 550

D) 50

NNP = GNP – depreciation.

Q17. C = 80, I = 20, G = 30, X = 10, M = 15. GDP is:

A) 135
B) 125 ✓
C) 145
D) 155

C + I + G + X – M = 125.

Q18. Total expenditure 100, revenue receipts 60, non-debt capital receipts 5. Fiscal deficit is:

A) 40
B) 30
C) 35 ✓
D) 45

100 – (60 + 5) = 35.

Q19. Fiscal deficit = 35 and interest payments = 20. Primary deficit is:

A) 55
B) 35
C) 15 ✓
D) 20

FD – interest.

Q20. Revenue expenditure 70, revenue receipts 55. Revenue deficit is:

A) 70
B) 125
C) 15 ✓
D) 55

Revenue expenditure – revenue receipts.

Q21. M1 = currency 40 + demand deposits 100 + other deposits with RBI 5. M1 equals:

A) 140
B) 145 ✓
C) 40
D) 105

Sum of components.

Q22. M1 = 100, time deposits = 250. M3 equals:

A) 150
B) 250
C) 350 ✓
D) 100

M3 = M1 + time deposits.

Q23. The Phillips Curve shows relationship between:

A) Tax and growth
B) Savings and money
C) Inflation and unemployment ✓
D) Interest and exchange rate

Inverse short-run trade-off.

Q24. Say's Law states that:

A) Supply creates its own demand ✓
B) Money is neutral
C) Taxes reduce supply
D) Demand creates supply

Classical economics.

Q25. The Laffer curve relates:

A) Interest and savings
B) Prices and demand
C) Tax rates and tax revenue ✓
D) Money and prices

Revenue maximising rate exists.

Q26. Crowding out occurs when government borrowing:

A) Raises exports
B) Increases deposits
C) Raises interest rates and reduces private investment ✓
D) Lowers inflation

Competition for funds.

Q27. The 'impossible trinity' says a country cannot have simultaneously:

A) Low inflation, growth and jobs
B) Fixed exchange rate, free capital flow and independent monetary policy ✓
C) Tax, spend and borrow
D) Trade, aid and loans

Mundell–Fleming.

Q28. The J-curve effect refers to trade balance after:

A) Interest rate rise
B) Budget
C) Currency depreciation ✓
D) Tax cut

Initially worsens, later improves.

Q29. Purchasing Power Parity (PPP) states that exchange rates adjust to:

A) Equalise price levels ✓
B) Equalise interest
C) Equalise taxes
D) Equalise wages

Law of one price.

Q30. Okun's Law links:

A) Money and prices
B) Tax and spending
C) Exchange and trade
D) GDP growth and unemployment ✓

Inverse relationship.

Q31. The Lorenz curve is used to show:

A) Exchange rate
B) Income distribution ✓
C) Demand
D) Supply

Gini coefficient derives from it.

Q32. Gresham's Law states that:

A) Money is neutral
B) Good money drives out bad
C) Inflation is benign
D) Bad money drives out good money ✓

Associated with commodity money.

Q33. 'Dutch disease' refers to:

A) High taxes
B) Banking crisis
C) Inflation
D) Decline of other tradables due to natural resource boom ✓

Currency appreciation hurts manufacturing.

Q34. Stagflation is difficult for policymakers because:

A) Money supply falls
B) Fighting inflation worsens unemployment ✓
C) Both fall together
D) Growth is high

Conflicting objectives.

Q35. The marginal utility of a good generally:

A) Stays constant
B) Diminishes as consumption increases ✓
C) Rises
D) Is always zero

Law of diminishing marginal utility.

Q36. In perfect competition, the firm is a:

A) Monopolist
B) Cartel member
C) Price maker
D) Price taker ✓

Many sellers, identical products.

Q37. A cartel is typical of:

A) Perfect competition
B) Monopsony
C) Oligopoly ✓
D) Public goods

E.g. OPEC.

Q38. Monopolistic competition has:

A) Two sellers
B) Identical products
C) Many sellers with differentiated products ✓
D) One seller

Brands, ads.

Q39. Which is a determinant of supply?

A) Cost of production/technology ✓
B) Consumer taste
C) Income of buyers
D) Population

Input prices shift supply.

Q40. An increase in input costs shifts supply curve:

A) Downward only
B) Rightward
C) None
D) Leftward ✓

Less is supplied at each price.

Q41. Complementary goods have:

A) Positive
B) Zero
C) Negative cross elasticity ✓
D) Infinite

Fall in demand for one raises demand for the other when price falls.

Q42. Veblen goods are those for which demand:

A) Is zero
B) Falls always
C) Rises as price rises (status) ✓
D) Is fixed

Conspicuous consumption.

Q43. Which of these is a stock variable?

A) Exports in a year
B) Money supply at a date ✓
C) GDP
D) Income per month

Stock is measured at a point in time.

Q44. Which is a flow variable?

A) Foreign exchange reserves
B) Wealth
C) National income ✓
D) Bank deposits outstanding

Measured over a period.

Q45. A liquidity trap occurs when:

A) Taxes are high
B) Inflation is high
C) Monetary policy becomes ineffective at very low interest rates ✓
D) Banks hold no cash

Keynesian concept.

Q46. The Monetary Policy Framework Agreement between RBI and Government was signed in:

A) 2008
B) 2000
C) 2019
D) February 2015 ✓

Inflation targeting framework; MPC formed in 2016.

Q47. The Urjit Patel Committee (2014) recommended:

A) Capital controls
B) Bank privatisation
C) Inflation targeting using CPI ✓
D) New taxes

Revised monetary policy framework.

Q48. The Chakravarty Committee (1985) reviewed:

A) Insurance
B) Mutual funds
C) Working of the monetary system ✓
D) GST

Recommended monetary targeting with feedback.

Q49. The Variable Rate Repo/Reverse Repo auctions are part of:

A) SEBI rules
B) IRDAI rules
C) Liquidity Adjustment Facility ✓
D) FEMA

Fine-tuning liquidity.

Q50. Marginal Standing Facility was introduced in:

A) 2005
B) 2011 ✓
C) 2019
D) 1991

Overnight emergency window at a penal rate.

Q51. The Market Stabilisation Scheme (MSS) was introduced in:

A) 1991
B) 2004 ✓
C) 2018
D) 2010

To mop up excess liquidity from forex inflows.

Q52. Standing Deposit Facility (SDF) was introduced in:

A) 2019
B) 2004
C) 2011
D) April 2022 ✓

Collateral-free liquidity absorption.

Q53. The 'policy repo rate' is the:

A) Base rate
B) Rate for exports
C) Tax rate
D) Operating target of monetary policy ✓

Weighted average call rate is the operating target.

Q54. Ways and Means Advances (WMA) are:

A) Insurance claims
B) Mutual fund
C) Bank loans to farmers
D) Temporary RBI advances to the Government ✓

Meet mismatches in receipts and payments.

Q55. RBI acts as a banker to:

A) Governments and banks ✓
B) Only SEBI
C) Only IRDAI
D) Only NBFCs

Also the lender of last resort.

Q56. The Finance Commission is constituted under Article:

A) 110
B) 112
C) 266
D) 280 ✓

Appointed every five years by the President.

Q57. The 15th Finance Commission was chaired by:

A) N.K. Singh ✓

B) Vijay Kelkar

C) Arvind Panagariya

D) Y.V. Reddy

16th FC chaired by Arvind Panagariya.

Q58. The 15th Finance Commission recommended devolution of ___ of divisible pool to states:

A) 30%

B) 42%

C) 41% ✓

D) 50%

14th FC had recommended 42%.

Q59. Cess and surcharge are:

A) Abolished

B) Shared 50%

C) Shared equally

D) Not shared with states ✓

Part of Centre's gross tax but not divisible pool.

Q60. Zero-Based Budgeting means:

A) No budget

B) Every item justified afresh ✓

C) Zero deficit

D) Zero tax

Not based on previous year.

Q61. Gender Budgeting in India was introduced in:

A) 2005-06 ✓

B) 2020

C) 1991

D) 2014

Gender Budget Statement.

Q62. A Supplementary Demand for Grants is made when:

A) Elections

B) Allocation is insufficient or new spending arises ✓

C) Budget is rejected

D) Taxes rise

Presented during the year.

Q63. Which of these is a non-tax revenue?

A) Income tax

B) Customs duty

C) Dividends from PSUs and interest receipts ✓

D) GST

Non-tax: interest, dividend, fees, RBI surplus.

Q64. RBI surplus transferred to the Government is a:

A) Subsidy

B) Non-tax revenue ✓

C) Capital receipt

D) Tax revenue

Dividend/surplus transfer.

Q65. Recovery of loans by Government is a:

A) Subsidy
B) Capital receipt ✓
C) Revenue receipt
D) Tax

Non-debt capital receipt.

Q66. Disinvestment proceeds are a:

A) Capital receipt ✓
B) Tax
C) Revenue receipt
D) Grant

Non-debt capital receipt.

Q67. Public debt of India does NOT include:

A) Money supply ✓
B) Market loans
C) External loans
D) Treasury bills

Public debt = internal + external liabilities.

Q68. Deficit financing by borrowing from RBI is called:

A) Monetisation of deficit ✓
B) Taxation
C) Disinvestment
D) Subsidy

Inflationary; limited since 1997 ad hoc T-bill phase-out.

Q69. FRBM Act, 2003 originally targeted a fiscal deficit of:

A) 3% of GDP ✓
B) 6%
C) 1%
D) 5%

Revised via 2018 amendment to a glide path.

Q70. In 2018 FRBM amendment the debt-to-GDP target (general government) was:

A) 30%
B) 60% ✓
C) 100%
D) 20%

Centre 40%, States 20%.

Q71. The Budget 2025-26 announced the shift of fiscal anchor to:

A) Tax-GDP
B) Revenue deficit
C) Debt-to-GDP ratio ✓
D) Primary surplus

Centre's debt target around 50 ± 1% by 2030-31.

Q72. The Union Budget lays before Parliament all of these EXCEPT:

A) Finance Bill
B) Annual Financial Statement
C) Monetary Policy Statement ✓
D) Demands for Grants

MPS is issued by RBI.

Q73. Which one is a progressive tax?

A) GST

B) Income tax ✓

C) Customs

D) Excise

Rate rises with income.

Q74. Regressive tax takes a ___ share of income from low earners:

A) Larger ✓

B) Smaller

C) Zero

D) Equal

Indirect taxes tend to be regressive.

Q75. Gross Domestic Savings rate of India is approximately:

A) Around 30% of GDP ✓

B) 80%

C) 5%

D) 60%

Historically 29–32% of GDP.

Q76. Capital formation means:

A) Tax revenue

B) Savings only

C) Spending on consumption

D) Addition to capital stock ✓

Investment in physical assets.

Q77. NNP at factor cost is also called:

A) GDP

B) GNP

C) National Income ✓

D) Gross income

National income = NNP at factor cost.

Q78. Which among the following is excluded from GDP?

A) Second-hand goods sale ✓

B) Government services

C) Rent

D) Final goods

Transfers, second-hand goods and intermediate goods are excluded.

Q79. Transfer payments (pensions, subsidies) are excluded from:

A) Revenue deficit

B) Fiscal deficit

C) GDP by expenditure ✓

D) Budget

No production in exchange.

Q80. A rise in the CPI means:

A) Cost fell

B) Cost of living has increased ✓

C) Exports up

D) Growth up

Measures retail price changes.

Q81. Which of the following is NOT an instrument of selective credit control?

A) Repo rate ✓

B) Margin on securities

C) Credit rationing

D) Moral suasion

Repo is a general quantitative tool.

Q82. Open Market Operations involve:

A) Changing tax

B) Fixing prices

C) Buying or selling government securities ✓

D) Printing notes

Quantitative tool.

Q83. RBI sells G-secs under OMO to:

A) Fund the Government

B) Inject liquidity

C) Raise exports

D) Absorb liquidity ✓

Reduces money supply.

Q84. CRR cut is a ___ monetary policy move:

A) Fiscal

B) Neutral

C) Contractionary

D) Expansionary ✓

Releases funds for lending.

Q85. Forex reserves of India comprise all EXCEPT:

A) Gold

B) Foreign currency assets

C) SDRs

D) Bank deposits of residents ✓

Plus reserve tranche position.

Q86. The Open Economy macro identity: Current account balance equals:

A) Imports only

B) Tax minus spending

C) Exports only

D) Savings minus investment ✓

$S - I = X - M$ (roughly).

Q87. Inflation hurts most those who:

A) Are exporters

B) Hold real assets

C) Have fixed incomes ✓

D) Are debtors

Debtors gain, fixed-income earners lose.

Q88. Hyperinflation is generally defined as inflation exceeding ___ per month:

A) 50% ✓

B) 5%

C) 10%

D) 1%

Cagan's definition.

Q89. Which is a supply-side policy?

A) Raising repo

B) Budget deficit

C) Reducing taxes to encourage production ✓

D) Increasing CRR

Supply-side economics.

Module C – Indian Financial Architecture

Q1. The RBI has ___ Deputy Governors:

A) Two
B) Six
C) Eight
D) Four ✓

Governor plus up to four Deputy Governors.

Q2. The Governor of RBI is appointed by the:

A) Parliament
B) IBA
C) Central Government ✓
D) President on SEBI advice

Term typically 3 years.

Q3. RBI's four regional Local Boards are in Mumbai, Kolkata, Chennai and:

A) New Delhi ✓
B) Lucknow
C) Hyderabad
D) Bengaluru

Each represents a region.

Q4. Which of these is a subsidiary of RBI?

A) SBI
B) LIC
C) DICGC ✓
D) NABARD

Also BRBNMPL, RBIH, IFTAS.

Q5. The Bimal Jalan Committee (2019) reviewed:

A) Microfinance
B) Insurance
C) RBI's Economic Capital Framework ✓
D) GST

Surplus transfer policy.

Q6. NEFT is a:

A) Cash
B) Deferred net settlement system ✓
C) Real-time gross settlement
D) Cheque system

Settled in batches.

Q7. RTGS settles transactions:

A) Weekly
B) In real time, gross basis ✓
C) In batches
D) Next day

Minimum ₹2 lakh.

Q8. IMPS (Immediate Payment Service) is offered by:

A) NABARD
B) NPCI ✓
C) IRDAI
D) SEBI

24x7 instant transfers.

Q9. RuPay card was launched by NPCI in:

A) 2005
B) 2012 ✓
C) 2018
D) 2020

Domestic card network.

Q10. CTS in banking means:

A) Cash Transfer Scheme
B) Cheque Truncation System ✓
C) Central Treasury Service
D) Credit Tax System

Images replace physical cheque movement.

Q11. CERSAI is a registry of:

A) Customer data only
B) Security interests over property ✓
C) Insurance
D) Mutual funds

Central Registry of Securitisation Asset Reconstruction and Security Interest.

Q12. CKYC (Central KYC Registry) is operated by:

A) IRDAI
B) SEBI
C) NSDL
D) CERSAI ✓

Single KYC identifier.

Q13. For Prepaid Payment Instruments, a minimum-KYC wallet limit is:

A) ₹10,000 ✓
B) ₹1 lakh
C) ₹5 lakh
D) ₹50,000

Full-KYC PPIs up to ₹2 lakh.

Q14. FATF stands for:

A) Foreign Account Tax Framework
B) Federal Asset Tax Fund
C) Financial Action Task Force ✓
D) Fund Allocation Task Force

Sets global AML/CFT standards.

Q15. PMLA stands for:

A) Payment and Money Law Act
B) Prevention of Money Laundering Act ✓
C) Public Money Loan Act
D) Prime Minister's Loan Act

Enacted 2002.

Q16. Urban Cooperative Banks are regulated by RBI for banking functions and by ___ for management:

A) IRDAI
B) NABARD
C) Registrar of Cooperative Societies ✓
D) SEBI

Dual control.

Q17. Revised regulatory framework for UCBs (2022) has ___ tiers:

A) Two
B) Three
C) Five
D) Four ✓

Based on deposit size.

Q18. Which of the following committees recommended Payments Banks and Small Finance Banks?

A) Nachiket Mor Committee ✓
B) Malegam Committee
C) Tarapore
D) Nayak Committee

Report on financial inclusion 2013.

Q19. The P.J. Nayak Committee (2014) dealt with:

A) Insurance
B) Microfinance
C) Mutual funds
D) Governance of bank boards ✓

Recommended Bank Investment Company.

Q20. The Malegam Committee (2011) was on:

A) Payments
B) Microfinance institutions ✓
C) Insurance
D) Housing

Led to NBFC-MFI regulation.

Q21. The Verma Committee (1999) examined:

A) Mutual funds
B) Forex
C) Weak public sector banks ✓
D) Insurance

Weak banks strategy.

Q22. Narasimham Committee I reduced SLR from 38.5% to:

A) 25% ✓
B) 10%
C) 15%
D) 40%

Phased.

Q23. Basel II was implemented in India by:

A) 2020
B) 2013
C) March 2009 ✓
D) 1996

Foreign banks and Indian banks abroad earlier.

Q24. Basel III implementation in India began from:

A) April 2013 ✓
B) 2018
C) 2000
D) 2008

Full phase-in extended to March 2020.

Q25. Capital Conservation Buffer is ___ of RWA:

A) 9%
B) 4%
C) 2.5% ✓
D) 1%

In addition to minimum capital.

Q26. Tier 1 capital includes:

A) Equity capital and reserves ✓
B) Subordinated debt
C) General provisions
D) Revaluation reserves

Core capital.

Q27. Liquidity Coverage Ratio (LCR) is related to:

A) Credit risk
B) Forex
C) 30-day stress liquidity ✓
D) Market risk

Bank must hold HQLAs.

Q28. D-SIBs stands for:

A) Deposit Safe Insured Banks
B) Domestic Systemically Important Banks ✓
C) Developed State Banks
D) Digital Scheduled Banks

SBI, HDFC, ICICI are D-SIBs.

Q29. The Section of the BR Act that deals with moratorium/amalgamation is:

A) 45 ✓
B) 35A
C) 8
D) 24

Section 45 and 44A.

Q30. Under the BR Act, an unincorporated banking business is prohibited by Section:

A) 49
B) 7 ✓
C) 22
D) 8

Only banking companies may use the term 'bank' (Section 7).

Q31. RBI Act's Section 45-IC requires NBFCs to transfer ___ of profit to reserve fund:

A) 10%
B) 20% ✓
C) 50%
D) 25%

Statutory reserve for NBFCs.

Q32. Deposit-taking NBFCs must have:

A) Foreign partner
B) Minimum investment grade credit rating ✓
C) No rating
D) Branch licence

Credit rating mandatory.

Q33. NBFC public deposits can be accepted for tenor of:

A) 3 to 6 months

B) 12 to 60 months ✓

C) 1 to 7 days

D) 10 years

Repayable on maturity only.

Q34. Chit funds are regulated by:

A) State governments under the Chit Funds Act, 1982 ✓

B) SEBI

C) RBI

D) IRDAI

Chit Funds Act, 1982.

Q35. Nidhi companies are regulated by:

A) Ministry of Corporate Affairs ✓

B) RBI

C) SEBI

D) NABARD

Mutual benefit societies.

Q36. RBI's Digital Lending Guidelines were issued in:

A) 2015

B) 2025

C) September 2022 ✓

D) 2010

Regulated Entities and LSPs.

Q37. In the Default Loss Guarantee (DLG) arrangement, the cap is:

A) 100%

B) 50%

C) 20%

D) 5% of the loan portfolio ✓

Guarantee by LSP to RE.

Q38. A bank's Reserve Fund under BR Act is created from:

A) Deposits

B) CRR

C) Branch fee

D) Profit before dividend ✓

Section 17.

Q39. The LIC IPO was in:

A) 2010

B) 2015

C) May 2022 ✓

D) 2019

Largest IPO in India.

Q40. The four PSU general insurers are New India, United India, National and:

A) Star

B) Oriental ✓

C) Bajaj

D) LIC

Public sector general insurers.

Q41. Solvency ratio required by IRDAI is:

A) 100%

B) 150% ✓

C) 200%

D) 50%

Insurers must hold ASM ≥ 1.5 times RSM.

Q42. The Insurance Ombudsman redresses complaints against:

A) NBFCs

B) Insurers and intermediaries ✓

C) Mutual funds

D) Banks

Cases up to ₹30 lakh.

Q43. IRDAI's online 'Bima Sugam' is:

A) A pension

B) A loan

C) Digital insurance marketplace ✓

D) A bank

Platform of insurers and intermediaries.

Q44. SAT (Securities Appellate Tribunal) was set up in:

A) 1988

B) 2015

C) 1997 ✓

D) 2005

Hears appeals against SEBI orders.

Q45. SEBI's SCORES portal is for:

A) Banking

B) Insurance

C) Investor complaint redressal ✓

D) Pension

Centralised grievance system.

Q46. The Banking Ombudsman Scheme was first introduced in:

A) 2010

B) 2021

C) 1995 ✓

D) 1969

Integrated Ombudsman Scheme in 2021.

Q47. Which one is a retail payment system operated by NPCI?

A) RTGS

B) BBPS ✓

C) CCIL

D) SWIFT

Bharat Bill Payment System.

Q48. FASTag is based on:

A) Barcode

B) RFID technology ✓

C) NFC only

D) QR

Toll collection.

Q49. AePS (Aadhaar enabled Payment System) uses:

A) Cheques

B) Aadhaar and biometrics ✓

C) Cards

D) Mobile apps only

Micro-ATM banking.

Q50. Export credit guarantee in India is provided by:

A) NABARD

B) SIDBI

C) DICGC

D) ECGC ✓

Export Credit Guarantee Corporation (1957).

Q51. Packing credit is a facility given to exporters:

A) For import

B) After receiving payment

C) After shipment

D) Before shipment ✓

Pre-shipment finance.

Q52. EXIM Bank mainly finances:

A) Housing

B) MSME

C) Agriculture

D) Exports and imports ✓

Foreign trade.

Q53. NHB provides refinance to:

A) NBFC-MFIs

B) Farmers

C) Housing finance institutions ✓

D) Exporters

Housing sector apex.

Q54. Which of the following is NOT a development financial institution?

A) NABARD

B) EXIM Bank

C) LIC ✓

D) SIDBI

LIC is an insurer.

Q55. The Regional Rural Banks' lending is mostly to:

A) Foreign exporters

B) Corporates

C) Priority sector ✓

D) Gold traders

Rural focus.

Q56. SHGs usually have ___ members:

A) 50–100

B) 10–20 ✓

C) 200

D) 1–2

Self Help Groups.

Q57. Grameen Bank (Bangladesh) founder Muhammad Yunus received the Nobel Prize in:

A) 1999
B) 2015
C) 2020
D) 2006 ✓

Peace Prize.

Q58. The Business Correspondent (BC) model is meant for:

A) Branchless banking ✓
B) Currency
C) Insurance
D) Stock trading

Introduced 2006.

Q59. A 'Small Savings' scheme is NOT:

A) Mutual fund SIP ✓
B) PPF
C) Sukanya Samriddhi
D) NSC

Small savings are government-backed postal/bank schemes.

Q60. Kisan Vikas Patra was relaunched in:

A) 2020
B) 2014 ✓
C) 2005
D) 1998

Doubles money in around 115 months.

Q61. Bank branch licensing is the domain of:

A) SEBI
B) IBA
C) RBI ✓
D) Finance Ministry

Section 23 of the BR Act.

Q62. Which bank is known as the 'Bankers' bank'?

A) RBI ✓
B) SBI
C) IBA
D) SIDBI

Lender of last resort.

Q63. The Indian Banks' Association (IBA) is:

A) A court
B) A rating agency
C) A regulator
D) An industry body of banks ✓

Established in 1946.

Q64. A 'Scheduled Commercial Bank' must have paid-up capital and reserves of at least:

A) ₹5 crore
B) ₹50 crore
C) ₹100 crore
D) ₹5 lakh ✓

As per RBI Act Second Schedule criteria.

Q65. Which is a 'foreign bank' in India?

A) HDFC

B) Standard Chartered ✓

C) Karnataka Bank

D) Federal

Operating through branches or WOS.

Q66. Wholly Owned Subsidiary (WOS) mode for foreign banks was allowed from:

A) 2020

B) 2013 ✓

C) 1991

D) 2000

Phased approach.

Q67. Banks can open ATMs and 'Off-site ATMs' with:

A) SEBI approval

B) IRDAI approval

C) Court order

D) Intimation to RBI ✓

Liberalised.

Q68. The Bharat Bill Payment System is:

A) Insurance product

B) Loan

C) Interoperable bill payment platform ✓

D) Tax

BBPS by NPCI Bharat BillPay.

Q69. NACH is used for:

A) Share trading

B) Visa

C) Cheque storage

D) Bulk, recurring payments ✓

National Automated Clearing House.

Q70. The Unified Payments Interface was developed on the basis of:

A) SWIFT

B) IMPS ✓

C) NEFT

D) RTGS

UPI built on IMPS rails.

Q71. The Account Aggregator framework permits:

A) Consent-based sharing of financial data ✓

B) Pensions

C) Deposit insurance

D) Forex

Regulated by RBI.

Q72. ONDC stands for:

A) Open Network for Digital Commerce ✓

B) Overseas Network for Digital Currency

C) Online National Deposit Corporation

D) Open NBFC Digital Credit

Government-backed.

Q73. The e-Rupee is a:

A) Central Bank Digital Currency ✓

B) Insurance

C) Cryptocurrency

D) Mutual fund

Legal tender in digital form.

Q74. Banks under PCA face restriction on:

A) Dividend distribution and branch expansion ✓

B) Interest rates

C) Foreign visits

D) Employee welfare

Mandatory + discretionary actions.

Q75. The 4R's strategy to clean up PSBs: Recognition, Resolution, Recapitalisation and:

A) Reforms ✓

B) Recovery

C) Retrenchment

D) Redemption

From Indradhanush and thereafter.

Q76. The ARC acquires NPAs and:

A) Lends to farmers

B) Accepts deposits

C) Reconstructs/recovers them ✓

D) Insures deposits

Under SARFAESI.

Q77. Securitisation is the process of:

A) Buying shares

B) Insuring

C) Pooling assets and issuing tradable securities against them ✓

D) Selling gold

Financial engineering.

Q78. A 'Lok Adalat' is a forum for:

A) Taxation

B) Policy

C) Settlement of disputes by conciliation ✓

D) Elections

Under the Legal Services Authorities Act.

Q79. CRAR of Indian banks is computed as capital funds divided by:

A) Total deposits

B) Total advances

C) Risk-weighted assets ✓

D) Net worth

Capital to risk-weighted assets ratio.

Q80. Which Act gives RBI the power to regulate payment systems?

A) Payment and Settlement Systems Act, 2007 ✓

B) SARFAESI Act

C) Companies Act

D) IBC

PSS Act, 2007.

Q81. The Credit Information Companies (Regulation) Act was passed in:

A) 2005 ✓

B) 1993

C) 2018

D) 2013

CICs: TransUnion CIBIL, Equifax, Experian, CRIF High Mark.

Q82. The first credit information company in India, set up in 2000, is:

A) CRIF

B) Experian

C) CIBIL ✓

D) Equifax

Credit Information Bureau (India) Ltd.

Q83. Priority sector loans by banks to NBFC-MFIs for on-lending are classified under:

A) Corporate loans

B) Priority sector (as per RBI conditions) ✓

C) Not eligible

D) Export credit

Subject to conditions.

Q84. An RBI-licensed 'Local Area Bank' operates in a maximum of:

A) Whole state

B) Whole country

C) Three contiguous districts ✓

D) One village

LAB scheme, 1996.

Q85. Under the 'Lead Bank Scheme', each district is allotted to a:

A) Post office

B) Lead Bank ✓

C) SEBI office

D) Court

To coordinate banking development.

Q86. State Level Bankers' Committee (SLBC) is convened by:

A) Convenor bank of the state ✓

B) SEBI

C) NABARD

D) IRDAI

Coordinates credit planning.

Q87. The Service Area Approach was introduced in:

A) 1969

B) 2005

C) 2015

D) 1989 ✓

Allotment of villages to banks.

Q88. Bank 'Nationalisation' of 1969 was for banks with deposits of over:

A) ₹5 crore

B) ₹5,000 crore

C) ₹500 crore

D) ₹50 crore ✓

14 banks with deposits above ₹50 crore.

Module D – Financial Products and Services

Q1. A T-bill is bought at ₹98 and redeemed at ₹100. The return on investment is approximately:

A) 2.04% ✓
B) 2%
C) 4%
D) 1.96%

2/98 = 2.04% for the period.

Q2. A bond with face value ₹1,000 and 8% coupon pays annual interest of:

A) ₹8
B) ₹800
C) ₹80 ✓
D) ₹180

8% of 1000.

Q3. Bond with ₹80 annual coupon trading at ₹800. Current yield is:

A) 8%
B) 10% ✓
C) 80%
D) 6.4%

80/800.

Q4. If a bond's YTM is higher than its coupon rate, the bond sells at:

A) Par
B) Premium
C) Zero
D) Discount ✓

Price below face value.

Q5. If a bond's YTM equals its coupon rate, the bond sells at:

A) Discount
B) Par ✓
C) Premium
D) Zero

Price = face value.

Q6. When interest rates rise, existing bond prices:

A) Double
B) Rise
C) Fall ✓
D) Unchanged

Inverse relationship.

Q7. Longer-duration bonds are ___ sensitive to rate changes:

A) More ✓
B) Not
C) Less
D) Equally

Duration measures interest rate sensitivity.

Q8. The yield of a 10-year G-sec is the:

A) Bank rate
B) Benchmark for pricing bonds/loans ✓
C) Repo rate
D) CRR

Risk-free long-term rate.

Q9. Spot rate is ₹83.00; 3-month forward premium is 50 paise. The forward rate is:

A) ₹82.50
B) ₹84.00
C) ₹83.50 ✓
D) ₹83.05

Spot + premium.

Q10. If spot is ₹83.00 and 1-month forward is ₹82.90, the rupee is at a forward:

A) Par
B) Discount for USD / premium for rupee ✓
C) None
D) Premium for USD

USD at forward discount.

Q11. USD/INR = 83 and EUR/USD = 1.10. EUR/INR is:

A) 83.00
B) 84.10
C) 75.45
D) 91.30 ✓

83 × 1.10.

Q12. A bank quotes USD/INR 82.80/82.90. A customer buying USD pays:

A) 82.80
B) 82.90 ✓
C) 82.85
D) 83.00

Offer rate.

Q13. An exporter receiving dollars sells them to the bank at the:

A) Offer rate
B) None
C) Bid rate ✓
D) Mid rate

Bank buys at bid.

Q14. An importer hedges currency risk by:

A) Buying forward ✓
B) Selling spot
C) Selling forward
D) Holding rupees

Locks the future rate.

Q15. The 'covered' in covered interest parity means:

A) Taxed
B) Regulated
C) Hedged with forward contract ✓
D) Insured

Eliminates exchange risk.

Q16. Which is a forex 'swap'?

A) A bond
B) Simultaneous spot purchase and forward sale ✓
C) A tax
D) Only a loan

Used for funding and hedging.

Q17. A Call option with strike ₹100, premium ₹5; spot at expiry ₹120. Net profit to buyer is:

A) ₹25

B) ₹15 ✓

C) ₹20

D) ₹5

120 – 100 – 5.

Q18. Put option with strike ₹100, premium ₹4; spot at expiry ₹110. Buyer's net result:

A) Profit ₹10

B) Loss of ₹4 ✓

C) Profit ₹6

D) Loss ₹10

Option lapses; premium lost.

Q19. Maximum loss for an option buyer is limited to the:

A) Spot price

B) Unlimited

C) Premium paid ✓

D) Strike price

Premium.

Q20. A long futures position profits when the underlying price:

A) Stays

B) Not applicable

C) Falls

D) Rises ✓

Buyer gains on price rise.

Q21. A long futures position at 100 closed at 110 with lot of 100 units gives profit:

A) ₹110

B) ₹10

C) ₹1,000 ✓

D) ₹100

10 × 100.

Q22. Initial margin in futures is:

A) Brokerage

B) Tax

C) Deposit to cover potential losses ✓

D) Premium

Marked-to-market daily.

Q23. A hedger in derivatives aims to:

A) Reduce risk ✓

B) Gamble

C) Maximise risk

D) Avoid contract

Opposite of speculator.

Q24. An arbitrageur makes risk-free profit from:

A) Dividends

B) Tax

C) Prediction

D) Price differences in markets ✓

Buying low and selling high simultaneously.

Q25. Interest Rate Swap pays fixed and receives:

A) Floating ✓

B) Nothing

C) Equity

D) Gold

Based on notional principal.

Q26. MIBOR is a:

A) Stock index

B) Insurance index

C) Tax

D) Benchmark overnight rate in Mumbai ✓

Mumbai Interbank Offered Rate.

Q27. Overnight Indexed Swap (OIS) is linked to:

A) Equity

B) Overnight rate ✓

C) Insurance

D) Gold

Floating leg based on overnight index.

Q28. Which of the following is an OTC derivative?

A) Index option

B) Nifty future

C) Forward Rate Agreement ✓

D) Stock option

Not exchange-traded.

Q29. Under SEBI SAST Regulations, an open offer is triggered on acquisition of ___ or more voting rights:

A) 50%

B) 25% ✓

C) 5%

D) 10%

Open offer for at least 26%.

Q30. Share buyback is allowed up to ___ of paid-up capital and free reserves:

A) 25% ✓

B) 5%

C) 100%

D) 50%

Subject to conditions.

Q31. The face value of an equity share is ₹10 and market price ₹250. The market price is ___ times face value:

A) 250

B) 25 ✓

C) 10

D) 2.5

250/10.

Q32. EPS equals:

A) Net profit available to equity holders / number of shares ✓

B) Dividend / shares

C) Assets / shares

D) Revenue / shares

Earnings per share.

Q33. Price ₹200, EPS ₹10. P/E ratio is:

A) 200

B) 20 ✓

C) 10

D) 2

200/10.

Q34. Market capitalisation equals:

A) Profit

B) Share price × number of shares ✓

C) Book value

D) Revenue

Total value of equity.

Q35. Dividend yield equals:

A) Price / EPS

B) EPS / price

C) Dividend per share / Market price ✓

D) Profit/Sales

Return from dividends.

Q36. Book value per share equals:

A) Net worth / number of shares ✓

B) Profit / shares

C) Sales / shares

D) Price / EPS

Accounting value.

Q37. A 'bull market' means:

A) No movement

B) Rising prices ✓

C) Falling prices

D) Closed market

Optimism.

Q38. A 'bear market' means:

A) Falling prices ✓

B) Stable

C) Closed

D) Rising prices

Pessimism.

Q39. Stock exchange 'circuit filters' are used to:

A) Raise prices

B) Lower taxes

C) Report profit

D) Curb excessive volatility ✓

Trading halts.

Q40. 'Short selling' means selling:

A) Bonds

B) Shares one owns at profit

C) Shares one does not own, hoping to buy back cheaper ✓

D) Gold

Speculation on falls.

Q41. Delisting of shares means:

A) IPO

B) Bonus

C) Removal from stock exchange trading ✓

D) Split

Securities are no longer traded.

Q42. A 'bonus issue' is:

A) Loan

B) Buyback

C) Dividend in cash

D) Free shares to existing shareholders ✓

Capitalisation of reserves.

Q43. A 'stock split' increases:

A) Dividend

B) Reserves

C) Number of shares and reduces face value ✓

D) Face value

Market cap unchanged.

Q44. A debenture holder is a ___ of the company:

A) Creditor ✓

B) Owner

C) Director

D) Auditor

Debt instrument.

Q45. A convertible debenture can be converted into:

A) Equity shares ✓

B) Insurance

C) Cash

D) Gold

At specified terms.

Q46. Preference shareholders get dividend:

A) After equity

B) Before equity shareholders ✓

C) Never

D) Randomly

Preferential right.

Q47. The Securities Contracts (Regulation) Act was passed in:

A) 1992

B) 1956 ✓

C) 1999

D) 2013

Regulates stock exchanges.

Q48. NAV of a fund: assets ₹120 crore, liabilities ₹20 crore, units 10 crore. NAV is:

A) ₹12

B) ₹100

C) ₹10 ✓

D) ₹2

(120–20)/10.

Q49. The expense ratio of a mutual fund is charged to:

A) Investors through NAV ✓

B) SEBI

C) Banks

D) AMC only

Reduces returns.

Q50. Dividend option in mutual funds is now called:

A) Premium

B) IDCW (Income Distribution cum Capital Withdrawal) ✓

C) Bonus

D) Interest

Renamed by SEBI.

Q51. A close-ended fund units can be bought:

A) During NFO and traded on exchange ✓

B) Only by banks

C) Not at all

D) Anytime at NAV

Fixed maturity.

Q52. Which fund invests mainly in government securities?

A) ELSS

B) Liquid fund

C) Gilt fund ✓

D) Index fund

Sovereign credit.

Q53. Mid-cap funds invest in companies ranked:

A) 251 onwards

B) 101–250 ✓

C) 1–100

D) Unlisted

By market capitalisation.

Q54. SEBI categories of mutual fund schemes were rationalised in:

A) 1996

B) 2017 ✓

C) 2022

D) 2005

Circular on categorisation.

Q55. 'Regular plan' of a mutual fund includes:

A) No expenses

B) Tax exemption

C) Distributor commission ✓

D) Government subsidy

Higher expense ratio than direct.

Q56. An AMC's investment manager is paid by:

A) Investors' deposit

B) Fund management fee ✓

C) Bank

D) Govt

Part of expense ratio.

Q57. Stamp duty on mutual fund unit purchases applies since:

A) 2024
B) 2012
C) July 2020 ✓
D) 1996

Stamp duty on securities transactions.

Q58. Factoring: invoice ₹10 lakh, 80% advance and 2% fee on invoice. Advance and fee are:

A) ₹8 lakh and ₹20,000 ✓
B) ₹10 lakh and ₹2,000
C) ₹2 lakh and ₹20,000
D) ₹8 lakh and ₹2,000

80% × 10 lakh; 2% × 10 lakh.

Q59. Which of these is NOT a factoring service?

A) Deposit insurance ✓
B) Credit protection
C) Sales ledger administration
D) Finance

Factoring: finance, ledger management, collection, protection.

Q60. Recourse factoring means the seller:

A) Bears the risk of non-payment ✓
B) Cannot sell
C) Has no risk
D) Gets no advance

Debtor default comes back to seller.

Q61. Forfaiting is generally used for:

A) Insurance
B) Retail sales
C) Capital goods exports on credit ✓
D) Equity

Medium-term trade finance.

Q62. The Indian credit rating agency set up first is:

A) Fitch
B) ICRA
C) CRISIL ✓
D) CARE

Established in 1987.

Q63. A rating of 'D' means:

A) Under review
B) Default ✓
C) Moderate
D) Highest safety

Issuer defaulted.

Q64. Investment grade means rated:

A) BB and above
B) BBB- and above ✓
C) D
D) B and above

Lowest of investment grade.

Q65. Rating agencies earn fees from:

A) Public
B) RBI
C) Government
D) The issuer (issuer pays model) ✓

Issuer-pays model.

Q66. A rating 'watch' indicates:

A) Error
B) Final rating
C) Possible upgrade/downgrade soon ✓
D) Suspension

Credit watch.

Q67. A lease where the lessee has an option to buy at the end is a:

A) Finance lease ✓
B) Cancellable lease
C) Sub-lease
D) Operating lease

Typically full-payout lease.

Q68. In a lease, the 'residual value' is:

A) Rental
B) Value of asset at end of the lease ✓
C) Initial price
D) Interest

Salvage value.

Q69. Which one is the key advantage of leasing for a lessee?

A) Ownership
B) Conserves capital ✓
C) Tax-free
D) No payments

100% financing.

Q70. A hire purchase hirer is treated as ___ while paying instalments:

A) Creditor
B) Owner
C) Shareholder
D) Bailee ✓

Becomes owner on final payment.

Q71. Average clause: sum insured ₹5 lakh, actual value ₹10 lakh, loss ₹4 lakh. Claim is:

A) ₹4 lakh
B) ₹2 lakh ✓
C) ₹1 lakh
D) ₹5 lakh

4 × 5/10 (underinsurance).

Q72. Co-insurance means:

A) No claim
B) One insurer
C) Risk shared among insurers ✓
D) Government pays

Multiple insurers share a risk.

Q73. Which is a 'riders' benefit?

A) Critical illness add-on ✓

B) Nomination

C) Surrender

D) Maturity

Optional addition to life policy.

Q74. Surrender value is payable when:

A) Loss

B) Death

C) Fraud

D) Policyholder discontinues after minimum premium years ✓

Paid-up value.

Q75. The proposer in an insurance contract must disclose:

A) All material facts ✓

B) Only name

C) Only address

D) Nothing

Utmost good faith.

Q76. A life policy with only protection and no maturity benefit is:

A) Money back

B) ULIP

C) Endowment

D) Term plan ✓

Pure risk cover.

Q77. ULIP combines:

A) Insurance and investment ✓

B) Loan and deposit

C) Pension and tax

D) Share and bond only

Market linked.

Q78. Policy 'lapse' happens when:

A) Policy ends

B) Premium is not paid within grace period ✓

C) Claim paid

D) Nominee changed

Can be revived.

Q79. Which of the following is health insurance 'waiting period' typically for pre-existing diseases?

A) 10 years

B) 1 day

C) Up to 3 years (IRDAI 2024 norms) ✓

D) None

Moratorium period 5 years (from 8).

Q80. Reinsurance protects:

A) Customers

B) Government

C) Insurers ✓

D) Banks

Spreads risk across insurers.

Q81. NPS Tier II account is:

A) Mandatory
B) Insurance
C) Only for govt
D) Voluntary savings, no lock-in ✓

Withdrawal flexible.

Q82. An NPS subscriber can invest in asset classes E, C, G and:

A) B
B) X
C) A (alternative) ✓
D) L

Equity, Corporate debt, Govt securities, Alternative.

Q83. NPS 'Auto Choice' and 'Active Choice' relate to:

A) Asset allocation ✓
B) Loan
C) Tax
D) Annuity

Subscriber decides or lifecycle fund.

Q84. The lump sum payout at NPS exit (non-government) can be up to:

A) 40%
B) 60% ✓
C) 80%
D) 100%

At least 40% annuity.

Q85. EPF contribution by an employee is generally:

A) 1%
B) 5%
C) 12% of basic + DA ✓
D) 20%

EPFO manages.

Q86. EPFO stands for:

A) Employees' Pension Fund Office
B) Equity Pension Fund Org
C) Employment Payment Fund Org
D) Employees' Provident Fund Organisation ✓

Statutory body.

Q87. PPF interest is:

A) None
B) Taxable
C) Tax-free (EEE) ✓
D) Variable daily

Exempt-Exempt-Exempt.

Q88. Senior Citizens' Savings Scheme age limit starts at:

A) 60 years ✓
B) 50
C) 55
D) 65

Government-backed.

Q89. Sukanya Samriddhi account matures after:

A) 10

B) 21 years from opening ✓

C) 15

D) 25

Deposits for 15 years.

Q90. Atal Pension Yojana is administered by:

A) IRDAI

B) SEBI

C) PFRDA ✓

D) NABARD

Through banks.

Q91. Which activity is NOT permissible for banks under para-banking without approval?

A) Underwriting insurance risk ✓

B) Distributing insurance

C) Distributing mutual funds

D) Referral

Banks cannot carry insurance risk (except insurance JV).

Q92. Mis-selling of third-party products is addressed by:

A) State governments

B) Customs

C) SEBI only

D) RBI guidelines on sale of non-fund products ✓

Fair practices and disclosures.

Q93. The primary market is where:

A) New securities are issued ✓

B) Old securities are traded

C) Only forex

D) Only G-secs

IPO etc.

Q94. A 'greenshoe option' in IPO is to:

A) Delist

B) Reduce capital

C) Stabilise post-listing price ✓

D) Raise price

Over-allotment option.

Q95. A company raising money from existing shareholders is doing a:

A) IPO

B) Rights issue ✓

C) Buyback

D) OFS

In ratio of holding.

Q96. Market maker in SME IPO:

A) Provides two-way quotes ✓

B) Regulates

C) Insures

D) Audits

Ensures liquidity.

Q97. The Take-over Code in India is:

A) SEBI MF Regulations

B) SEBI (SAST) Regulations, 2011 ✓

C) RBI Act

D) Companies Act only

Substantial Acquisition of Shares and Takeovers.

Q98. REIT unit holders earn mainly from:

A) Rental income and capital gains ✓

B) Insurance

C) Gold

D) Dividends from shares only

Distributions from properties.

Q99. InvIT assets include:

A) Insurance

B) Roads, power transmission ✓

C) Gold

D) Shares only

Infrastructure projects.

Q100. An Alternative Investment Fund Category II includes:

A) Infrastructure

B) Hedge funds

C) Startup

D) Private equity and debt funds ✓

No leverage except day-to-day.

Q101. Angel funds invest in:

A) Insurance

B) G-secs

C) Gold

D) Start-ups ✓

Sub-category of Category I AIF.

Q102. A merchant banker must have a net worth of at least:

A) ₹5 crore ✓

B) ₹1 crore

C) ₹50 crore

D) ₹100 crore

SEBI norm.

Q103. Lead manager's role in an IPO includes:

A) Audit

B) Printing currency

C) Drafting offer document and managing issue ✓

D) Setting repo

Due diligence.

Q104. A prospectus is a document that:

A) Is a tax return

B) Is a bank loan

C) Invites public to subscribe ✓

D) Is an audit report

Required under Companies Act.

Q105. ASBA application is:

A) Cheque
B) Paid at once
C) Funds blocked in bank account till allotment ✓
D) No payment

Only blocked, not debited.

Q106. Treasury bills are traded in the:

A) Money market ✓
B) Commodity
C) Capital market
D) Forex

Short-term.

Q107. The money market's regulator for most instruments is:

A) SEBI
B) RBI ✓
C) PFRDA
D) IRDAI

SEBI regulates MMF.

Q108. The 'repo' transaction involves sale of securities with agreement to:

A) Cancel
B) Gift
C) Hold forever
D) Repurchase later ✓

Short-term borrowing.

Q109. Inter-bank call money is a market for:

A) Retail loans
B) Forex
C) Insurance
D) Reserve adjustment among banks ✓

Banks lend/borrow to meet CRR.

Q110. Money market mutual funds invest in:

A) Equities
B) Gold
C) Real estate
D) Short-term debt instruments ✓

Up to 1 year.

Q111. The 'commercial paper' can be issued by:

A) Farmers
B) Charities
C) Individuals
D) Corporates, primary dealers and FIs ✓

Rated entities.

Q112. Which of the following is a capital market instrument?

A) Debentures ✓
B) T-Bill
C) CD
D) CP

Long-term instrument.

Q113. A 'sovereign gold bond' is issued by:

A) RBI on behalf of Government ✓

B) SBI only

C) IRDAI

D) SEBI

Interest of 2.5% p.a. on initial price (historically).

Q114. Which is a 'Non-fund based' facility?

A) Term loan

B) Cash credit

C) Letter of credit and bank guarantee ✓

D) Overdraft

No immediate outflow.

Q115. A 'Derivative' used by banks for managing interest rate risk is:

A) Interest Rate Swap ✓

B) Commodity forward

C) Equity option

D) Gold bond

IRS.

Q116. The settlement cycle for G-secs in India is:

A) T+0 only

B) T+3

C) T+7

D) T+1 ✓

Standard.

Q117. The 'India International Exchange (India INX)' is located at:

A) GIFT City IFSC ✓

B) Mumbai

C) Kolkata

D) Chennai

First international exchange.

Q118. NSE's Nifty 50 index consists of ___ stocks:

A) 100

B) 30

C) 500

D) 50 ✓

Benchmark.

Q119. Corporate bonds are rated by:

A) SEBI itself

B) IRDAI

C) Credit rating agencies ✓

D) RBI

Mandatory for public issue.

Q120. Which of the following is a feature of ETF?

A) Fixed maturity

B) Guaranteed

C) Traded on exchange like a share ✓

D) Insured

Tracks an index.

Q121. The 'Systematic Transfer Plan' moves money:

A) From one fund to another in instalments ✓

B) From bank

C) To tax

D) To insurance

STP.

Q122. The 'rupee cost averaging' is a benefit of:

A) SIP ✓

B) Lump sum

C) PPF

D) FD

Buying more units when prices are low.

Q123. An exchange-traded 'Nifty future' is settled:

A) In cash ✓

B) In gold

C) In shares

D) Physically

Cash-settled.

Q124. Contango/basis in futures means:

A) Futures below spot

B) Zero

C) Equal

D) Futures price above spot ✓

Cost of carry.

Q125. SEBI regulates:

A) Credit rating agencies and merchant bankers ✓

B) Banks

C) Insurance

D) Pension

As per SEBI Act.

Q126. Which of these is a function of a depositary participant?

A) Printing notes

B) Opening demat accounts ✓

C) Auditing

D) Fixing rates

Banks can act as DPs.

Q127. RBI's Retail Direct scheme allows investors to buy:

A) Shares

B) Gold

C) G-secs and T-bills ✓

D) Insurance

Online gilt account.

Q128. The Tax Savings Fixed Deposit has a lock-in of:

A) 1 year

B) 5 years ✓

C) 10 years

D) 3 years

Section 80C (old regime).

Q129. The primary dealer system for G-secs started in:

A) 1991
B) 1995 ✓
C) 2005
D) 2015

RBI introduced it in 1995.

Q130. Under Basel norms, market risk arises from:

A) Frauds
B) Default of borrower
C) Staff
D) Changes in interest/forex/equity prices ✓

Trading book risk.

Q131. Operational risk arises from:

A) Rate changes
B) Failed internal processes, people, systems or external events ✓
C) Default only
D) Exchange rate changes

Basel definition.

Q132. Credit risk is the risk of:

A) Inflation
B) Fraud
C) Rate change
D) Borrower default ✓

Counterparty failure.

Q133. Liquidity risk is the risk that a bank:

A) Loses staff
B) Raises capital
C) Makes profit
D) Cannot meet obligations as they fall due ✓

Funding or market liquidity.

Q134. A bank pays interest on savings accounts as per:

A) RBI-deregulated rates (since 2011) ✓
B) SEBI
C) Fixed 4%
D) Government

Savings rate deregulated Oct 2011.

Q135. Which is a type of bank deposit that cannot earn interest?

A) Savings account
B) Fixed deposit
C) Recurring deposit
D) Current account ✓

Demand deposit.

Q136. A Recurring Deposit is one where:

A) One lumpsum
B) No deposit
C) Daily
D) Fixed amount is deposited monthly ✓

Matures after chosen tenor.

Q137. NRE deposits are held in:

A) Indian rupees (repatriable) ✓

B) Gold

C) Foreign currency

D) Shares

Interest tax-free in India.

Q138. FCNR(B) deposits are maintained in:

A) Gold

B) Foreign currency ✓

C) Shares

D) Rupees

Repatriable.

Q139. NRO accounts are for:

A) Gold

B) Overseas funds

C) Foreign currency

D) Income earned in India by NRIs ✓

Rupee account; repatriation limited.